

Saving vs. Spending: The Real Trade-off

Topic: Saving | Age band: Strategist

Name: _____

Date: _____

Given information: Imagine two people save the exact same amount of money, and both accounts add a little interest regularly. Person A saves for 3 months. Person B saves for 3 years. (No specific rate is used here — this is about time, not numbers.)

Question	Your answer
Who ends up with more extra money from interest — Person A or Person B? Why?	
Why does interest matter more over a longer period of time?	

Reflection: What does this tell you about saving money for a long time versus a short time?